Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	adidas - 3
Country	El Salvador
Assessment Date	8/28/2025
Assessment Company	Rodriguez Compliance Group - 200007

Workforce Summary

Number of Workers	1880
Percentage female	54 %
Primary Languages	Spanish

Wage Data information

Monthly minimum wage in country at time of assessment	The gross legal monthly minimum wage in El Salvador is 359.16 USD.
GLWC living wage benchmark for the country or relevant region at time of assessment	The GLWC living wage gross benchmark for Urban El Salvador in 2024 is 547 USD.

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	5
Employment Relationship (ER)	0
Hours Of Work (HOW)	0
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	1

Violations per Category	Violated Benchmarks
Immediate Action Required	5
Sustainable Improvement Required	1
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

Assessment Results

Compensation (C)	
Benchmark ID	C.1.1
Benchmark Details	Employers shall comply with all national laws, regulations and procedures concerning the payment of compensation to workers.
Finding Details	The factory continues to make advance severance payments. Currently, the 2022 severance is being paid in six installments from August 2025 through February 2026. December 2024 was excluded from the payment schedule due to vacation and Christmas bonuses. The schedule is communicated to all workers and posted in all company buildings. However, this finding remains open as the company has not yet decided whether to comply with the FLA's recommendation from past assessments.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	NA

Health, Safety And Environment (HSE)	
Benchmark ID	HSE.17.1
Benchmark Details	Workstations, including seating and standing arrangements and reach required to obtain tools, shall be designed and set-up in such a manner as to minimize bodily strains.
Finding Details	The current ergonomics program passively encourages exercises, but lacks designated time for workers to perform them. Standing workers receive no instruction or visual guidance on stress-relieving exercises, unlike seated workers who have displayed upper body exercises. Additionally, in the sublimation area, standing workers use wooden risers without ergonomic mats. The factory should assess and replace worn or damaged ergonomic mats.

Recommendations for Immediate Action	1. Conduct a Job Hazards review to identify repetitive stress tasks. 2. Train affected workers on injury prevention and proper use of work aids. 3. Consider task rotation to reduce repetitive strain. 4. Train supervisors to identify ergonomic issues and coach employees on exercises.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Decreto 89, el Reglamento General de Prevencion de Riesgos en los lugares de Trabajo [Decree 89, the General Regulation on Risk Prevention in the Workplace]

Benchmark ID	HSE.4.1
Benchmark Details	Employers shall at all times be in possession of all legally required and valid permits and certificates related to health, safety, and environmental issues, such as: Purchase and storage of chemicals; Fire safety inspections; Machinery inspections; Waste disposal; Environmental licenses/permits;Sanitation permits, including those required for canteens; and Vehicle inspection and driver permits for all employer provided transportation.
Finding Details	The factory started updating its Environmental Permit in January 2020 and has responded to authorities. However, due to internal changes (cancellation of Building G, opening of Building P) and administrative delays, the factory is still in the process of modifying the permit via the online platform.
Recommendations for Immediate Action	1. Follow up with local authorities on the permit update progress. 2. Establish clear procedures to obtain permits promptly in the future.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Articles 18 and 22 of the Environmental Law and Article 22 of the Environmental Law Regulations.

Benchmark ID	HSE.13
Benchmark Details	All necessary ventilation, plumbing, electrical, noise and lighting services shall be installed and maintained to conform to applicable laws and to prevent or minimize hazardous conditions to workers in the facility.

Finding Details	During physical inspection, several maintenance issues were found: electrical connections (e.g., sewing machines) need repair, water fountains are leaking, and electrical panels have open or unlocked doors. These conditions may pose hazards to workers.
Recommendations for Immediate Action	1. Repair all identified maintenance issues promptly. 2. Establish a general inspection program to routinely identify and fix maintenance problems. 3. Train employees to recognize and report maintenance concerns.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Decreto 89, el Reglamento General de Prevencion de Riesgos en los lugares de Trabajo [Decree 89, the General Regulation on Risk Prevention in the Workplace]

Benchmark ID	HSE.17.2
Benchmark Details	Employers shall train workers in proper lifting techniques, and items such as lifting belts shall be provided.
Finding Details	The current ergonomics program functions as a passive initiative focused on voluntary exercise. While workers are informed of recommended ergonomic exercises, the company does not allocate a designated time during the workday for these activities, leaving participation entirely at the employees' discretion. Employees who perform their duties while standing are not provided with specific guidance or exercises designed to reduce physical stress or strain. Although the company has posted graphics demonstrating upper-body exercises for seated employees operating machines, no equivalent instructions or visual aids are available for employees who stand for extended periods. In the sublimation area, employees are required to stand on wooden risers while operating sublimation machines. These risers do not incorporate ergonomic supports such as anti-fatigue mats. The company should evaluate the condition and effectiveness of all ergonomic mats throughout the facility and ensure that worn or damaged mats are promptly replaced.
Recommendations for Immediate Action	1. Conduct a Job Hazards review to identify repetitive stress tasks. 2. Train affected workers on injury prevention and proper use of work aids. 3. Consider task rotation to reduce repetitive strain. 4. Train supervisors to identify ergonomic issues and coach employees on exercises.

Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Decreto 89, el Reglamento General de Prevencion de Riesgos en los lugares de Trabajo [Decree 89, the General Regulation on Risk Prevention in the Workplace]

Benchmark ID	HSE.5.2
Benchmark Details	Workers shall be trained in evacuation procedures.
Finding Details	The company must review and identify alternative evacuation routes, particularly in the sublimation area. Currently, employees are trained to exit through glass doors leading into the main work area. If the emergency occurs there, they may not know alternate routes. Employees need training on these alternate routes, updated evacuation diagrams should be posted, and evacuation drills using alternate routes should be conducted.
Recommendations for Immediate Action	1. Identify and communicate alternative evacuation routes. 2. Train employees on alternative evacuation routes. 3. Post updated evacuation diagrams with alternative evacuation routes. 4. Conduct evacuation drills incorporating alternate routes.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Decreto 89, el Reglamento General de Prevencion de Riesgos en los lugares de Trabajo [Decree 89, the General Regulation on Risk Prevention in the Workplace]